

FEDERAL MARITIME COMMISSION

DOCKET NO. 17-07

PORT ELIZABETH TERMINAL & WAREHOUSE CORP.

v.

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY

INITIAL DECISION GRANTING MOTION TO PARTIALLY DISMISS COMPLAINT¹

I. INTRODUCTION

On January 12, 2018, Respondent The Port Authority of New York and New Jersey (“Port Authority” or “PANYNJ”) filed a motion to dismiss the remedy of reparations and some of the claims in the complaint filed by Complainant Port Elizabeth Terminal & Warehouse Corp. (“PETW” or “PET&W”). On January 27, 2018, PETW filed its opposition brief. On February 5, 2018, the Port Authority filed its reply brief.

PETW alleges that the Port Authority violated and continues to violate sections 41106(2), 41104(8), 41104(9), 41106(3), and 41102(c) of the Shipping Act of 1984 (“Shipping Act”). The Port Authority moves to dismiss the claim for reparations as time barred and seeks to dismiss the claims for unreasonable refusal to deal or negotiate and for failing to establish, observe, and enforce just and reasonable regulations as legally insufficient. Motion at 1. The Port Authority does not seek to dismiss the claims of undue or unreasonable preference or advantage and undue or unreasonable prejudice or disadvantage. PETW responds that its complaint “more than satisfies the applicable pleading standard” and that the Port Authority’s motion “is largely based on facts outside the Verified Complaint and Certifications which cannot be considered and must be stricken.” Opposition at 1.

¹ This Initial Decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

In addition, on March 1, 2018, PETW filed a motion to extend discovery. PETW indicates that the Port Authority did not agree to file the motion jointly; however, the Port Authority did not file a response. The motion requesting an extension indicates that discovery has been conducted, including some depositions, and requests additional discovery, including depositions of non-party witnesses. Motion to Extend at 2-3. The motion to extend discovery is denied. As discussed below, the parties shall meet and confer and file a proposed schedule for the remaining claims by May 22, 2018.

As explained more fully below, the Shipping Act's statute of limitations bars reparations for the complaint, although PETW may seek a cease and desist order. In addition, PETW's complaint does not meet the *Iqbal/Twombly* pleading standard for claims of unreasonable refusal to deal or negotiate and for failing to establish, observe, and enforce just and reasonable regulations and practices. Accordingly, the Port Authority's motion seeking partial dismissal is granted. This decision is divided into four parts: introduction, arguments of the parties, analysis, and order.

II. Arguments of the Parties

The Port Authority moves to dismiss PETW's claim for reparations as well as some of the claims in the complaint. The Port Authority argues that PETW's claim for reparations is barred by the statute of limitations and that claims for unreasonable refusal to deal or negotiate and for failure to establish, observe, and enforce just and reasonable regulations and practices should be dismissed for failure to state a claim under the Shipping Act. Motion at 12-19.

PETW opposes the motion to dismiss, arguing that the verified complaint satisfies the applicable pleading requirements and sets forth facts sufficient to state a timely cause of action for a Shipping Act violation, that the exhibits submitted by the Port Authority which go beyond the verified complaint must be stricken, and that the Port Authority's contention that the statute of limitations mandates a dismissal at the pleading stage is without merit. Opposition at 7-23.

III. Analysis

A. Jurisdiction

The Shipping Act provides, *inter alia*, that a "person may file with the . . . Commission a sworn complaint alleging a violation of this part." 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. See *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 997-99 (FMC 2006); see also *Cargo One, Inc. v. Cosco Container Lines Co., Ltd.*, 28 S.R.R. 1635, 1645 (FMC 2000). Complainant alleges violations of the Shipping Act by a port authority and the Commission has jurisdiction over the allegations and the parties.

B. Motion to Dismiss Standard

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions to dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. "In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal caselaw interpreting it." *Cornell v. Princess Cruise Lines, Ltd., Carnival PLC, and Carnival Corp.*, 33 S.R.R. 614, 620 (FMC 2014) (citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 32 S.R.R. 126, 136 (FMC 2011)).

The Commission explained:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to "state a claim to relief that is plausible on its face." *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim "has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Ashcroft v. Iqbal*, [556 U.S. 662, 663] (2009). The complaint must be sufficient to "give the defendant fair notice of what the . . . claim is and the grounds upon which it rests." *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); *see also* 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* §1215 (3d ed. 2010) ("[T]he test of a complaint's sufficiency simply is whether the document's allegations are detailed and informative enough to enable the defendant to respond.").

Mitsui O.S.K. Lines Ltd., 32 S.R.R. at 136.

"A pleading that offers 'labels and conclusions' or 'a formulaic recitation of the elements of a cause of action will not do." *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 555). "When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief." *Iqbal*, 556 U.S. at 678. The Commission explained:

Courts also construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint. The Commission need not, however, accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint. Moreover, the Commission need not "accept legal conclusions cast in the form of factual allegations."

Cornell v. Princess Cruise Lines, Ltd., Carnival PLC, and Carnival Corp., 33 S.R.R. at 620-621 (citations omitted). The Commission has clearly indicated that federal caselaw interpreting Federal Rule of Civil Procedure 12(b)(6), including *Twombly* and *Iqbal*, continues to apply to motions to dismiss filed in Commission proceedings. *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, 34 S.R.R. 35, 55 (FMC 2015) (docket 12-02) (hereinafter “*Maier Terminals, 12-02*”); *Cornell*, 33 S.R.R. at 620; *Mitsui O.S.K. Lines Ltd.*, 32 S.R.R. at 136.

The Commission explained the process for evaluating 12(b)(6) motions to dismiss.

The first step is typically to identify pleadings that are not entitled to the assumption of truth because they are legal conclusions. These conclusions can provide a framework, but they must be supported by factual allegations. The next step is to assume the truth of the well-pleaded factual allegations and determine “whether they plausibly give rise to an entitlement to relief.”

The factual allegations needed to reach plausibility will vary depending on the complexity of the case, “both to give the opposing party notice of what the case is all about and to show how, in the plaintiff’s mind, the dots should be connected.” “Determining whether a complaint states a plausible claim for relief will . . . be a context-specific task that requires the reviewing court to draw on its judicial experience and common sense.”

Maier Terminals, 12-02, 34 S.R.R. at 58 (citations omitted).

The focus at this stage is not whether a complainant can prevail on its claim, but whether it has adequately pled the claim. *Negron v. USAA Casualty Insurance Co.*, 2014 U.S. Dist. Lexis 125179, at *5 (M.D. Tenn. 2014). “What *Twombly* and *Iqbal* teach is that where there are other plausible explanations, it is not sufficient to speculate in a complaint and particularly to base that speculation on no facts at all.” *CIBA Vision Corp. v. De Spirito*, 2010 U.S. Dist. Lexis 11386, at *22-23 (N.D. Ga. 2010).

C. Facts

For purposes of evaluating the motion to dismiss, the facts presented by PETW are presumed to be true. PETW states:

IV. Statement of Facts and Matters Complained Of

A. Port Elizabeth Terminal & Warehouse Corp. provides warehousing and other terminal services and facilities to other marine terminal operators and common carriers handling thousands of shipping containers that enter or depart through the Port of New York and New Jersey.

- B. Port Elizabeth Terminal & Warehouse Corp. has been a tenant of PANYNJ and doing business in the Port of New York for over forty-two (42) years.
- C. Port Elizabeth Terminal & Warehouse Corp. is a public warehouse company and has been operating warehouses in the Port of New York and New Jersey since 1975.
- D. The vast majority of Port Elizabeth Terminal & Warehouse Corp.'s customers ship heavy / dense products to and from the United States.
- E. Port Elizabeth Terminal & Warehouse Corp. provides a key component of the supply chain for ocean-borne cargo by handling containers loaded to the rated capacity of the containers, typically 58,000 lbs. or roughly 26.3 metric tons, by shippers in order to maximize ocean freight savings.
- F. These 58,000 lbs. containers cannot be legally shipped on the United States Highway system so the cargo must be transloaded from the containers to legal highway weights.
- G. The 58,000 lbs. containers can legally be transported via the Port's Marine Terminal Highways with their significantly higher gross vehicle weights to Port Elizabeth Terminal & Warehouse Corp. warehouses in Port Newark and off-loaded and legally transported Port Elizabeth Terminal & Warehouse Corp. and transloaded on-terminal and prepared to legal off-port highway weights and off-port delivery.
- H. During the period of 2010 through 2015 Port Elizabeth Terminal & Warehouse Corp. averaged handling in excess of 50,000 TEU's per year of these types of heavy-loaded import and export containers that require on-terminal transloading.
- I. Port Elizabeth Terminal & Warehouse Corp. and PANYNJ have, over these past forty-two (42) years, entered into numerous Leases, agreements and supplements to agreements based upon the parties' needs and to advance the parties' mutual commercial and business interests.
- J. Over the past forty-two (42) years, the parties have entered into dozens of agreements and supplements pursuant to an established pattern and practice of working together to facilitate commerce within the port district.
- K. On November 1, 2009, PANYNJ entered into an agreement, in writing, designated as Lease No.: LPN-297 (the "Lease Agreement").

L. Pursuant to the Lease Agreement, the PANYNJ, as Lessor, let to Complainant, as lessee, the Premises, which included Building 201 and Building 202 of the Premises.

M. The Lease Agreement as to Building 201 and Building 202 of the Premises commenced on November 1, 2009 with a stated termination date of October 31, 2019.

N. Since November 1, 2009, when PANYNJ entered into Lease No.: LPN-297 Port Elizabeth Terminal & Warehouse Corp., PANYNJ has assured Port Elizabeth Terminal & Warehouse Corp. that, consistent with the longstanding relationship and clear understanding of the parties, PANYNJ would engage in good faith negotiations with Port Elizabeth Terminal & Warehouse Corp. to provide suitable space at reasonable rates for the continuation of Port Elizabeth Terminal & Warehouse Corp.'s operations at Port Newark.

O. Port Elizabeth Terminal & Warehouse Corp. occupied 138,400 Square Feet of warehouse space 1400 Aruba Street Elizabeth, New Jersey 07201 and, at the PANYNJ's request, vacated the premises on December 31, 2014, purportedly to allow for sprinkler repairs.

P. The warehouse space at 1400 Aruba Street Elizabeth, New Jersey 07201 remains vacant.

Q. On or about March 31, 2015, Port Elizabeth Terminal & Warehouse Corp. vacated 312,000 Square Feet of warehouse space at 191 Export Street, 194 Panama Street and 199 Panama Street in Port Newark at the PANYNJ's request to allow for the PNCT Terminal Expansion.

R. On or about November 30, 2015, Port Elizabeth Terminal & Warehouse Corp. vacated 91,855 Square Feet of space at 292 Marlin Street at the request of PANYNJ purportedly to create more room for vessel receiving.

S. PANYNJ seeks to have Port Elizabeth Terminal & Warehouse Corp. vacate 312,000 Square Feet of warehouse space at 201 Export Street and 202 Clipper Street to allow for the PNCT Terminal Expansion.

T. Port Elizabeth Terminal & Warehouse Corp. agreed to PANYNJ's requests to vacate warehouse space and incurred millions of dollars in relocation expenses based upon assurances by PANYNJ and the longstanding practice of the parties to negotiate in good faith and reach agreement regarding alternative suitable marine terminal facilities at reasonable rates for the continuation of Port Elizabeth Terminal & Warehouse Corp.'s operations at Port Newark.

Complaint at 3-6.

D. Allegations

1. **Undue or Unreasonable Preference or Advantage and Undue or Unreasonable Prejudice or Disadvantage; 46 U.S.C. §§ 41106(2), 41104(8), 41104(9).**

a. Statute of limitations

Pursuant to the Shipping Act at 46 U.S.C. § 41301(a), reparations may only be awarded for injury to a complainant caused by the respondent's violation of the Shipping Act if the complaint is filed within three years after the claim accrues. "Absent an exception, a claim accrues (and the statute of limitations begins to run) 'when a defendant commits an act that injures a plaintiff's business.'" *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, 32 S.R.R. 1185, 1191 (FMC 2013) (hereinafter "*Maier I*")² (citing *Zenith Radio Corp. v. Hazeltine Research Inc.*, 401 U.S. 321, 338 (D.C. Cir. 1971)). The time to file the complaint begins to run "when a complainant knew, or should have known, that it had a cause of action." *Maier I*, 32 S.R.R. at 1193. A statute of limitations argument is an affirmative defense. *Maier I*, 32 S.R.R. at 1193. However, the three-year statute of limitations only bars the award of reparations, not the filing of a complaint or the issuance of a cease and desist order. *Maier I*, 32 S.R.R. at 1190; *Western Overseas Trade and Dev. Corp. v. ANERA*, 26 S.R.R. 875, 885 n.17 (FMC 1993).

The discovery rule is an exception to the time bar provision. "Under the discovery rule, adopted by the Commission . . . a statute of limitations period will not begin to run until 'a party knew or with reasonable diligence *should have known* that it had a claim.'" *Maier I*, 32 S.R.R. at 1191 (emphasis in original); *see also, Connors v. Hallmark & Son Coal Co.*, 935 F.2d 336, 342 (1991) ("At least eight federal courts of appeals have, within the last four years, agreed . . . that the discovery rule is the general accrual rule in federal courts. As the Seventh Circuit has put it, the discovery rule is to be applied in all federal question cases 'in the absence of a contrary directive from Congress.'" (citing *Cada v. Baxter Healthcare Corp.*, 920 F.2d 446, 450 (7th Cir. 1990))).

² The dispute between *Maier Terminals* and the Port Authority of New York and New Jersey involved multiple Commission proceedings, federal district court cases, federal appeals, and one state court case. *Maier Terminals*, 12-02, 34 S.R.R. at 51. The Commission issued three decisions in docket 08-03, *Maier Terminals, LLC v. The Port Authority of New York and New Jersey*, which will be referred to as follows:

Maier I, 32 S.R.R. 1185 (FMC 2013) (summary judgement).

Maier II, 33 S.R.R. 821 (FMC 2014) (merits).

Maier III, 34 S.R.R. 322 (FMC 2016) (settlement agreement for dockets 08-03 and 12-02).

In *Ceres*, the Commission established four elements of an unreasonable preference or advantage or unreasonable prejudice or disadvantage claim:

In order to establish an allegation of an unreasonable preference or prejudice, it must be shown that (1) two parties are similarly situated or in a competitive relationship, (2) the parties were accorded different treatment, (3) the unequal treatment is not justified by differences in transportation factors, and (4) the resulting prejudice or disadvantage is the proximate cause of injury.

Ceres Marine Term., Inc. v. Maryland Port Admin., 27 S.R.R. 1251, 1270 (FMC 1997) (footnote omitted), *aff'd in part, rev'd in part on other grounds sub nom. Maryland Port Admin. v. Federal Maritime Commission*, 164 F.3d 624 (4th Cir. Oct. 13, 1998) (Table). Mere differences in treatment alone, however, do not violate the Shipping Act. *See Petchem, Inc. v. Federal Maritime Commission*, 853 F.2d 958, 963 (D.C. Cir. 1988) ("The Act clearly contemplates the existence of permissible preferences or prejudices."). Therefore, only "*undue or unreasonable* preferences and prejudices would be violative of the Prohibited Acts." *Seacon Terminals, Inc. v. The Port of Seattle*, 26 S.R.R. 886, 900 (FMC 1993) (emphasis in original). "Indeed, it would be impossible for the Port to insure that all of its tenants are identically situated, since each parcel and each operator has geographical and commercial idiosyncracies." *Seacon*, 26 S.R.R. at 900.

In *Maher I*, the Commission reviewed the statute of limitations issue, finding that the Port Authority's "motion for summary judgment that Maher's claim for reparations . . . is barred by the Act's statute of limitations is granted" and that the Port Authority's "motion that Maher's claim for a cease and desist order is barred by any statute of limitations is denied." *Maher I*, 32 S.R.R. at 1195.

In *Maher II*, the Commission found that Maher did not establish that the Port Authority's conduct constituted an unreasonable preference or prejudice and similarly, that Maher had not met its burden of proving that the Port failed to establish, observe, and enforce just and reasonable regulations and practices; that the Port unreasonably refused to deal with Maher; or that the Port operated contrary to Maher's lease. *Maher II*, 33 S.R.R. at 831. The Commission's decision was appealed to the United States Court of Appeals for the District of Columbia Circuit which remanded the case to the Commission for a further explanation of the Commission's decision and policy. *Maher Terminals, LLC v. FMC*, 816 F.3d 888, 892 (DC Cir. 2016) (hereinafter "*Maher, DC Circuit*").

In *Maher III*, the Commission approved a settlement agreement in dockets 08-03 and 12-02 and stated that "it will continue to consider all the relevant factors in its unreasonable preference analysis," including "in the case of marine terminal leases – market conditions, available locations and facilities, and the nature and character of potential lessees" and that it "will be informed by the deference it shows to public port authorities, especially in the context of their leasing decisions." *Maher III*, 34 S.R.R. at 326.

The D.C. Circuit, reviewing the decision on the merits in *Maheer II*, included a footnote in the procedural history section regarding the decision on the statute of limitations in *Maheer I*, stating that the “FMC ultimately held that Maheer’s request for a cease-and-desist order was not time-barred, and that in the event a violation was found, Maheer was entitled to reparations for the full three-year period, though not for the period before that running back to the execution of the lease.” *Maheer*, DC Circuit, 816 F.3d. at 890 n.2. This footnote was not addressed by the Commission in *Maheer III*, when the Commission approved the parties’ settlement agreement.

PETW asserts that if it prevails, it would be entitled to reparations for the three-year period before it filed its complaint on the basis of the D.C. Circuit’s footnote. However, the footnote was dicta and not controlling, as the D.C. Circuit was not reviewing the statute of limitations issue. The Commission’s caselaw has consistently found that the statute of limitations bars any reparations if a violation occurred three years prior to a complaint being filed at the Commission. *See, e.g., Maheer I*, 32 S.R.R. at 1190; *Inlet Fish Prod., Inc. v. Sea-Land Serv. Inc.*, 29 S.R.R. 306, 313 (FMC 2001); *Western*, 26 S.R.R. at 885 n.17; *A/S Ivarans Rederi v. Companhia De Navegacao Lloyd Braselleiro*, 23 S.R.R. 1543, 1550 (ALJ 1986); *Seatrains Gitmo, Inc. v. Puerto Rico Maritime Shipping Auth.*, 18 S.R.R. 1079, 1081-1082 (ALJ 1979) (all finding that the Commission’s three-year statute of limitations applies to requests for reparations).

b. Evidence considered in evaluating statute of limitations arguments in a motion to dismiss

In its motion, the Port Authority contends that PETW knew or should have known about the case more than three years before filing the complaint. Motion at 12-15. The Port Authority relies on correspondence between PETW and the Port Authority, a newspaper article, and documents from a 2017 legal proceeding contesting the Port Authority’s eviction of PETW from certain properties.

PETW asserts that “a court may only consider the facts alleged in the pleading” and requests that exhibits E through R submitted by the Port Authority, which it asserts go beyond the verified complaint, be stricken. Opposition at 17.

The Port Authority replies that the Commission may consider documents outside of the complaint in deciding the motion to dismiss because they are integral to the complaint and that the Commission can take judicial notice of the newspaper article to show what information was in the public realm at the time. Reply at 2-5. The Port Authority contends that the documents are integral to the action. Reply at 3.

“When evaluating a motion to dismiss for failure to state a claim the Commission considers the facts alleged in the complaint, documents attached to the complaint, documents incorporated by reference in, or integral to, the complaint, and matters subject to official notice.” *Maheer Terminals*, 12-02, 34 S.R.R. at 49 n.1 (citing *Farah v. Esquire Magazine*, 736 F.3d 528, 534 (D.C. Cir. 2013); *Chambers v. Time Warner, Inc.*, 282 F.3d 147, 153 (2d Cir. 2002); 46 C.F.R. § 502.226(a)). In *Maheer Terminals*, 12-02, the Commission considered Lease EP-249 “as part of the pleadings

because it is incorporated by reference in the complaint, it is integral to the complaint, and it is on file with the Commission, making it subject to official notice.” *Maher Terminals*, 12-02, 34 S.R.R. at 49 n.1.

“Official notice includes judicially noticeable facts and ‘technical or scientific facts within the general knowledge of the Commission,’ 46 C.F.R. § 502.226(a), such as evidence available to it from other proceedings, *Wis. Power & Light Co. v. FERC*, 363 F.3d 453, 463 (D.C. Cir. 2004).” *Maher Terminals*, 12-02, 34 S.R.R. at 49 n.1. “Official notice is broader than judicial notice and may be taken, not only of public records and generally accepted facts, but also of matters within an agency’s area of special expertise.” *Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC*, 32 S.R.R. 1133, 1161 n.39 (ALJ 2013). A presiding officer can take official notice not only of public records and generally accepted facts, but also of matters related to the shipping industry. *See, e.g., Marine Repair Services of Maryland*, 32 S.R.R. at 1161 (taking official notice of external facts relating to competition and practices in shipping industry); *Bimsha Int’l v. Chief Cargo Services, Inc. and Kaiser Apparel, Inc.*, 32 S.R.R. 353, 366, 368-371 (ALJ 2011) (taking official notice of Commission records and report from another federal agency); *John T. Barbour - Possible Violations of Section 8 and 19 of The Shipping Act of 1984*, 34 S.R.R. 959, 968-70 (ALJ 2016) (taking official notice of Commission records related to enforcement actions and federal district court records from a related proceeding).

Courts may take judicial notice of newspaper articles “to indicate what was in the public realm at the time, not whether the contents of those articles were in fact true.” *Bernak ex rel. All. Premier Growth Fund v. All. Capital Mgmt. L.P.*, 435 F.3d 396, 401 n.15 (3d Cir 2006); *see also Effie Film, LLC v. Pomerance*, 909 F. Supp. 2d 273, 299 (S.D.N.Y. Dec. 18, 2012). Even a single news article can place a plaintiff on inquiry notice. *Marshall v. Milberg LLP*, 2009 U.S. Dist. LEXIS 121208, at *12 (S.D.N.Y. Dec. 23, 2009); *In re MBIA Inc.*, 2007 U.S. Dist. LEXIS 10416 (S.D.N.Y. Feb. 14, 2007).

In the case *sub judice*, Exhibit E is an article titled “Port Newark Terminal Lease Deal to Double Volume.” Motion, Exhibit E. Judicial notice may be taken of this article to establish what information was in the public realm. Exhibits F-M are correspondence, including letters and emails, between the parties. While these documents are relevant to the Port Authority’s defense, they are not “documents attached to the complaint, documents incorporated by reference in, or integral to, the complaint, and matters subject to official notice” and will be excluded. Exhibits N-P are orders and transcripts from proceedings before the Superior Court of New Jersey for which judicial notice may be taken. Accordingly, the exhibits to the motion will be considered, except for exhibits F-M, which are excluded.

c. Discussion

In the complaint, PETW alleges that the Port Authority gave undue or unreasonable preference to another terminal operator, PNCT, by taking property occupied by PETW and providing it to PNCT, and that because the Port Authority provided PNCT with an undue advantage, it is likely

that PETW customers will be forced to seek a new marine terminal operator and PETW will lose business. Complaint at 8.

The Port Authority contends that a reparation award for this cause of action is barred by the Commission's three-year statute of limitations. The Port Authority asserts that "PETW should have filed this action on or before July 20, 2014. However, PETW waited until July 21, 2017, four days before the trial date of the Port Authority's landlord/tenant action to have PETW evicted from buildings 201 and 202, to commence this action. Accordingly, PETW's claim for reparations should be dismissed as it is untimely and no tolling provision applies." Motion at 15.

PETW asserts that differential treatment must be based on valid transportation factors; that there is "no valid transportation purpose for the foregoing undue or unreasonable prejudices" against PETW and if "there is a valid transportation purpose, the discriminatory actions of PANYNJ exceed what is necessary to achieve the purpose;" and that the Port Authority has violated the Shipping Act by giving any undue or unreasonable preference or advantage or imposing any undue or unreasonable prejudice or disadvantage with respect to PETW. Opposition at 16 (quoting the complaint at 8). PETW asserts that the Port Authority's contention that the statute of limitations mandates a dismissal at the pleading stage is without merit, asserting a continuing violation of the Shipping Act, accrual of claims for Shipping Act violations within three years of filing the complaint, and a course of action to mislead PETW, each of which is sufficient to deny the motion at this stage. Opposition at 22-23.

PETW entered into its lease with the Port Authority on November 1, 2009. Complaint at 4. The Port Authority entered into its lease with PNCT on June 14, 2011. Motion, Exhibit D (Lease L-PN-264, incorporated by reference in the complaint at 2). An agreement between the Port Authority and PNCT in January 2012 agrees to provide a "Phase 3 Development Parcel" which was premises leased to and occupied by PETW. Complaint at 7. A news article titled "Port Newark Terminal Lease Deal to Double Volume," published on June 15, 2011, describes the lease agreement between the Port Authority and PNCT and its impact on Complainant PETW, stating that the Port Authority "said the new acreage has been occupied by several small tenants, including the Port Elizabeth Terminal Warehouse" and that "[t]heir leases are not being renewed, though the Port Authority said it is working to find new locations within the port district." Motion, Exhibit E.

Once PETW knew or should have known about the PNCT lease, this claim accrued. This proceeding was filed on July 21, 2017. In order to be entitled to reparations, the claim must have accrued within three years of filing the complaint, on or after July 20, 2014. The PNCT lease to which PETW objects was signed and in the public realm in June of 2011. PETW did not file its complaint until over six years after the PNCT lease was signed and in the public realm. This far exceeds the Commission's three-year statute of limitations.

PETW contends that "under the Commission's discovery rule, the limitations period begins to run only when the complainant possesses 'conclusive information about such a dispute.'" Opposition at 20 (citing *Inlet Fish Prod., Inc. v. Sea-Land Serv. Inc.*, 29 S.R.R. 306, 313 (FMC

2001)). In the litigation between Maher and the Port Authority, Maher cited the “conclusive information” language in *Inlet Fish* as well; however, the Commission did not find it compelling. *Maher I*, 32 S.R.R. at 1193; *see also Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, 32 S.R.R. 1, 22-23 (ALJ 2011) (reviewed in *Maher I*) (discussing *Inlet Fish*). Conclusive information is not required for the Shipping Act’s statute of limitations to accrue.

The newspaper article clearly states that PNCT’s land will expand and that expansion will include land occupied by PETW. Motion, Exhibit E. It is not credible that PETW would not have seen an article that specifically referenced it by name in a local publication discussing the port in which it operated. Usually these types of lease agreements at ports are significant news within the local port community. While the newspaper article’s statement cannot be accepted for the truth of the matters asserted, it is an appropriate indicator of what information was in the public realm. Given that PNCT’s lease of land occupied by PETW was in the public realm as of 2011, PETW knew or should have known about its claim.

PETW does not clearly assert that it did not know about the PNCT lease, but rather seems to focus its argument on its belief that the Port Authority would negotiate with it in good faith, stating that the Port Authority “led PET&W on with empty promises to provide alternative suitable marine terminal facilities at reasonable rates for the continuation of Port Elizabeth Terminal & Warehouse Corp’s operations at Port Newark and ‘conclusive information’ about such a dispute was not available to PET&W as a result.” Opposition at 21-22. The continuing negotiations between the parties after the PNCT lease was signed did not toll the statute of limitations. Pursuant to the Shipping Act’s statute of limitations, PETW had three years after it knew or should have known of the violation to file its complaint. PETW had or should have had such notice more than three years before filing its complaint.

It appears that the statute of limitations would also bar the remaining claims for reparations for any unreasonable refusal to deal and failing to establish, observe, and enforce just and reasonable regulations and practices. However, there are not sufficient factual allegations alleged in the complaint to fully analyze the impact of the statute of limitations on these claims. As explained below, these remaining claims are dismissed for failure to state a plausible cause of action.

2. Unreasonable Refusal to Deal, 46 U.S.C. § 41106(3)

a. Relevant law

Section 41106(3) of the Shipping Act states that a marine terminal operator may not “unreasonably refuse to deal or negotiate.” 46 U.S.C. § 41106(3). “This requires a two-part inquiry: whether [respondent] refused to deal or negotiate, and, if so, whether its refusal was unreasonable.” *Canaveral Port Auth.*, 29 S.R.R. 1436, 1448 (FMC 2003). The Commission has held that a port authority’s refusal to consider a proposal constitutes a refusal to deal or negotiate. *Canaveral Port Auth.*, 29 S.R.R. at 1448. With respect to a port authority, “in determining reasonableness, the agency will look to whether a marine terminal operator gave actual consideration of an entity’s

efforts at negotiation.” *Canaveral Port Auth.*, 29 S.R.R. at 1450. A refusal is not unreasonable where it is “justified by particular circumstances in effect.” *Agreement No. 201158 – Docking and Lease Agreement*, 30 S.R.R. 377, 379 (FMC 2004). Moreover, the Commission may defer to a port’s reasonable, discretionary business decisions regarding negotiations. *Seacon Terminals*, 26 S.R.R. at 899.

The Act does not guarantee the right to enter into a contract, much less a contract with any specific terms; such a right has not existed either before or since the passage of OSRA. All that is required is that common carriers . . . refrain from “shutting out” any person for reasons having no relation to legitimate transportation-related factors.

New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans, 29 S.R.R. 345, 351 (ALJ 2001), *aff’d*, 29 S.R.R. 1066, 1070 (FMC 2002).

In *Maheer II*, the Commission found that “it was not unreasonable for the Port to reject Maheer’s subsequent requests for lease parity [with APM-Maersk], which Maheer initiated in 2007. The evidence establishes that the Port gave good faith consideration to Maheer’s subsequent requests for parity and that its refusal to accede to Maheer’s demands was not unreasonable.” *Maheer II*, 33 S.R.R. at 854. The Commission concluded that “the Port had valid reasons for treating Maheer differently than APM-Maersk” and that “as a policy matter it would be unduly burdensome for a port authority to have to renegotiate its leases on demand.” *Maheer II*, 33 S.R.R. at 854.

b. Discussion

PETW has not pled sufficient facts to plausibly suggest that there was a refusal to deal and to plausibly suggest that such a refusal was unreasonable. PETW’s primary allegations seem to be that the Port Authority did not negotiate in good faith, the Port Authority “refused to make any commitments whatsoever regarding its plans” for PETW’s continued operations at Port Newark, and PANYNJ pursued an eviction action. Complaint at 9-11.

Accepting the facts asserted by PETW as true, the Port Authority met with PETW on a number of occasions. Complaint at 8-11. Although PETW asserts that those discussions were not done with “good faith” on the part of the Port Authority, the only facts supporting that allegation are that the Port Authority did not agree with the demands of PETW. That the Port Authority did not make a commitment regarding its plans does not suggest that the Port Authority was acting unreasonably or not in good faith. The mere fact of not receiving parity and of having different lease terms, which demonstrates a difference, is not sufficient to allege that the difference was unreasonable. The Shipping Act does not require “that all interested parties get the same deal.” *Ceres Marine Terminals, Inc. v. Maryland Port Admin.*, 29 S.R.R. 356, 369 (FMC 2001).

As discussed above, judicial notice can be taken of the eviction action in the Superior Court of New Jersey and appeal to the Superior Court of New Jersey Appellate Division, exhibits N-P of the motion. After a hearing and an appeal, the New Jersey courts determined that the eviction was

proper and that the landlord-tenant action was properly before the New Jersey courts, stating “the trial court reasonably found defendant’s filing of a complaint with the FMC was an inappropriate tactic to delay eviction proceedings.” Motion, Exhibit Q at 2. A competent court determined that the eviction was reasonable.

An allegation of refusal to deal requires more than that a request is denied. PETW’s conclusory legal statements, such as “unreasonably,” provide no factual support of its allegations that the Port Authority’s conduct violated the Shipping Act. The complaint does not provide plausible factual support for the allegation that the Port Authority unreasonably refused to deal or violated sections 41106(3) and 41104(10). Accordingly, the complaint, accepted as true, fails to allege sufficient factual matter to state a plausible Shipping Act claim. Therefore, this claim is dismissed.

3. Failure to Establish, Observe, and Enforce Just and Reasonable Regulations and Practices; 46 U.S.C. § 41102(c)

a. Relevant Law

Under the Shipping Act, section 41102(c), a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

The appropriate inquiry under section 41102(c) “is whether the ‘charge levied is reasonably related to the services rendered.’” *Maher II*, 33 S.R.R. at 852 (quoting *Volkswagenwerk Aktiengesellschaft v. FMC*, 390 U.S. 261, 282 (1968)); see also *Secretary of the Army v. Port of Seattle*, 24 S.R.R. 595, 602 (FMC 1987), reaffirmed on reconsideration, 24 S.R.R. 1242, 1248 (FMC 1988). The “Commission has stated that ‘[t]he test of reasonableness as applied to terminal practices is that the practice must be otherwise lawful, not excessive, and reasonably related, fit and appropriate to the ends in view.’” *Kawasaki Kisen Kaisha, Ltd. v. The Port Authority of New York and New Jersey*, 33 S.R.R. 746, 755 (FMC 2014) (quoting *W. Gulf Mar. Ass’n v. Port of Hous. Auth.*, 18 S.R.R. 783, 790 (FMC 1978), *aff’d without opinion sub nom. W. Gulf Mar. Ass’n v. FMC*, 610 F.2d 1001 (D.C. Cir. 1979)). With regard to charges assessed by a marine terminal operator, “the question under section [41102(c)] is not whether a complainant has received some ‘substantial benefit,’ but whether the correlation of that benefit to the charges imposed is reasonable. Such a charge ‘is unreasonable if it is not reasonably related, either to an actual service performed for, or a benefit conferred upon, the person being charged.’” *Kawasaki Kisen Kaisha*, 33 S.R.R. at 755 (quoting *Indiana Port Comm’n v. FMC*, 521 F.2d 281, 285 (D.C. Cir. 1975)).

b. Discussion

PETW alleges that the Port Authority “has not established, observed, and/or enforced just and reasonable regulations and practices as they pertain to tenants who receive, handle, store, or deliver property,” and that the Port Authority’s “regulations and practices favor Marine Terminal

Operators over others based upon non-transportation factors in a way so as to unduly favor certain Marine Terminal Operators based upon status.” Complaint at 11.

The Port Authority argues that other than “this conclusory legal statement, the complaint is bereft of any facts whatsoever to state a claim for relief that is plausible on its face,” that “the complaint does not even mention which regulations or practices the Port Authority failed to establish, observe and/or enforce,” and that “the complaint fails to provide any details describing how the Port Authority failed to establish, observe, and/or enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” Motion at 18.

In its opposition to the motion, PETW does not discuss section 41102(c), a failure to establish, observe or enforce, or reasonable regulations or practices in its opposition beyond quoting the complaint.

PETW does not identify specific regulations or practices that the Port Authority failed to establish, observe, or enforce. Complainant’s conclusory legal statements, such as “unreasonable,” “unduly favor,” and “no transportation purpose” provide no factual support for the allegations that Respondent’s conduct violated the Shipping Act. In addition, it appears that PETW may have abandoned the allegation. Accordingly, the complaint, accepted as true, fails to allege sufficient factual matter to state a plausible Shipping Act claim under section 41102(c). Therefore, this claim is dismissed.

E. Conclusion

As discussed above, the statute of limitations bars reparations for the unreasonable preference and prejudice claim which was filed over six years after information about the lease was in the public realm and four days prior to an eviction hearing. Moreover, PETW’s complaint does not plead sufficient facts to find plausible their claim of an unreasonable refusal to deal and failure to establish, observe, and enforce just and reasonable practices.

The Commission discussed the standard for when leave to amend pleadings is appropriate, stating:

Valid grounds for denying leave to amend include “undue delay, bad faith or dilatory motive on the part of the movant, repeated failure to cure deficiencies by amendments previously allowed, undue prejudice to the opposing party by virtue of allowance of the amendment [and] futility of amendment, etc.” “Additionally, leave to amend may be denied when a party does not request leave to amend or does not indicate the particular grounds on which amendment is sought.”

Maier Terminals, 12-02, 34 S.R.R. at 77 (emphasis and citations omitted).

PETW has not requested an amendment to its pleadings and does not assert any grounds for permitting amendment. However, none of the other factors are present. The dismissal of the claim for reparations is not based on a pleading deficiency but rather a violation of the statute of limitation and an amended complaint would not cure the statute of limitations problem, so the reparations claim is dismissed with prejudice. However, in an abundance of caution, the dismissal of the claims for unreasonable refusal to deal or negotiate and for failing to establish, observe, and enforce just and reasonable regulations and practices will be without prejudice.

F. Schedule

On or before May 22, 2018, the parties should meet and confer and file a joint status report with a proposed schedule for resolving the remaining claim for a cease and desist order for violation of 46 U.S.C. §§ 41106(2), 41104(8), and 41104(9). The parties should address whether additional discovery is required given this decision limiting the issues in the proceeding.

IV. ORDER

Upon consideration of the motion to dismiss, the opposition thereto, the reply, and the record herein, and for the reasons stated above, it is hereby

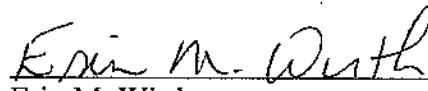
ORDERED that the motion seeking a partial dismissal filed by the Port Authority be **GRANTED**. It is

FURTHER ORDERED that the claim for reparations be **DISMISSED WITH PREJUDICE**. It is

FURTHER ORDERED that the claims for violation of 46 U.S.C. §§ 41106(3) and 41102(c) against the Port Authority of New York and New Jersey be **DISMISSED WITHOUT PREJUDICE**. It is

FURTHER ORDERED that all other pending motions, including the motion to extend discovery, are hereby **DISMISSED AS MOOT**. It is

FURTHER ORDERED that by May 22, 2018, the parties file a joint status report with proposed schedule for the remaining claims for a cease and desist order for violation of 46 U.S.C. §§ 41106(2), 41104(8), and 41104(9).


Erin M. Wirth
Administrative Law Judge